

BUILDING A SECURE CKYC

THE CENTRAL KNOW YOUR CUSTOMER MODEL, THE CORNERSTONE OF INDIA'S DIGITAL PUBLIC INFRASTRUCTURE, AIMS TO REVOLUTIONISE FINANCIAL ONBOARDING BY CREATING A SEAMLESS, UNIFIED DIGITAL IDENTITY FOR ALL FINANCIAL INTERACTIONS. BUT SIGNIFICANT CHALLENGES REMAIN

BY RIDDHIMA BHATNAGAR



INDIA'S REGULATORY ARCHITECTURE is aligning different processes to simplify the customer experience across the financial sector. At the heart of the transformation is the Central Know

Your Customer Registry (CKYC), an information repository established under the Prevention of Money Laundering (PMLA) Rules, 2015.

Managed by the Central Registry of Securitization Asset Reconstruction and Security Interest of India, CKYC aims to create a single digital KYC record for every financial customer, streamlining access to banking, insurance, mutual fund and pension services.

After registration, individuals will receive a unique 14-digit CKYC number, enabling them to seamlessly transact across institutions without requiring repetitive documentation.

CKYC is more than a compliance tool; it represents

a move toward interoperable digital infrastructure. It complements India's broader public digital stack alongside Aadhaar, UPI and DigiLocker by ensuring KYC becomes a one-time, universally accepted procedure.

"CKYC eliminates the duplication of KYC submissions, ensuring customers don't need to undergo the process multiple times. This not only enhances efficiency, but also significantly reduces the risk of document-related fraud," says Sumanta Ghosh, Chief Technology Officer at Bandhan Life.

The process works through institutions uploading KYC data (such as the Permanent Account Number, or PAN, Aadhaar, and address proof), which is verified and stored centrally. Any institution can retrieve the data securely with customer consent.

In April 2025, Securities and Exchange Board of India (Sebi) chairman Tuhin Kanta Pandey told the